

HDFC Ltd - HDFC Bank Merger: An M&A



Case Study

Strategic Analysis & Deal Evaluation



DEAL OVERVIEW

Deal Name: HDFC Ltd merger with HDFC Bank

Deal Type: Merger (Reverse merger — HDFC Ltd merged into HDFC Bank)

Announcement Date: April 4, 2022

Completion Date: July 1, 2023

Deal Size: approximately \$48 billion — making it India's largest ever M&A deal

Swap Ratio: For every 25 shares of HDFC Ltd, shareholders received 42 shares of HDFC Bank

Resulting Entity: HDFC Bank became a universal bank offering both home loans and banking products under one roof

Collect Data

Clean & Process

Explore & Visualize

Report Insights

About the Two Companies

	HDFC Ltd (The Target — being acquired)	HDFC Bank (The Acquirer)
Founded	1977	1994
Type	Housing Finance Company (NBFC)	Private Sector Bank
What it did	Gave home loans to individuals and builders	Full banking — savings accounts, credit cards, loans, investments
Market Position	India's #1 housing finance company	India's #1 private bank by assets
Loan Book Size	₹5.7 lakh crore (as of 2022)	₹21 lakh crore (as of 2022)
Key Strength	45 years of brand trust in home loans, huge distribution network	Massive retail customer base, best-in-class technology

Strategic Rationale

1 Regulatory Push (The Trigger)

"RBI's 2021 Scale Based Regulation framework increased compliance burden on large NBFCs like HDFC Ltd, reducing the regulatory arbitrage that made operating as a separate entity advantageous."

2 Access to Low-Cost Deposits (The Financial Benefit)

"HDFC Ltd borrowed from capital markets at ~7% to fund home loans. Post-merger, HDFC Bank's low-cost CASA deposits (avg cost ~4%) fund the same loans — directly expanding net interest margins."

3 Cross-Selling Opportunity (The Growth Story)

"The combined entity can cross-sell home loans to HDFC Bank's 68 million customers and offer banking products to HDFC Ltd's mortgage base — significantly increasing revenue per customer."

4 Eliminating Holding Company Discount (The Valuation Reason)

"As a holding company owning 21% of HDFC Bank, HDFC Ltd traded at a persistent discount to its intrinsic value. The merger eliminates this structural inefficiency, unlocking value for shareholders."

Valuation- The 3 Methods Used



1: Comparable Companies Analysis (Comps)

Comparable companies analysis using P/B multiples of listed HFCs suggests HDFC Ltd traded at a significant premium (3.8x P/B) vs. sector peers (avg 1.5–2x), justified by superior asset quality and brand strength.



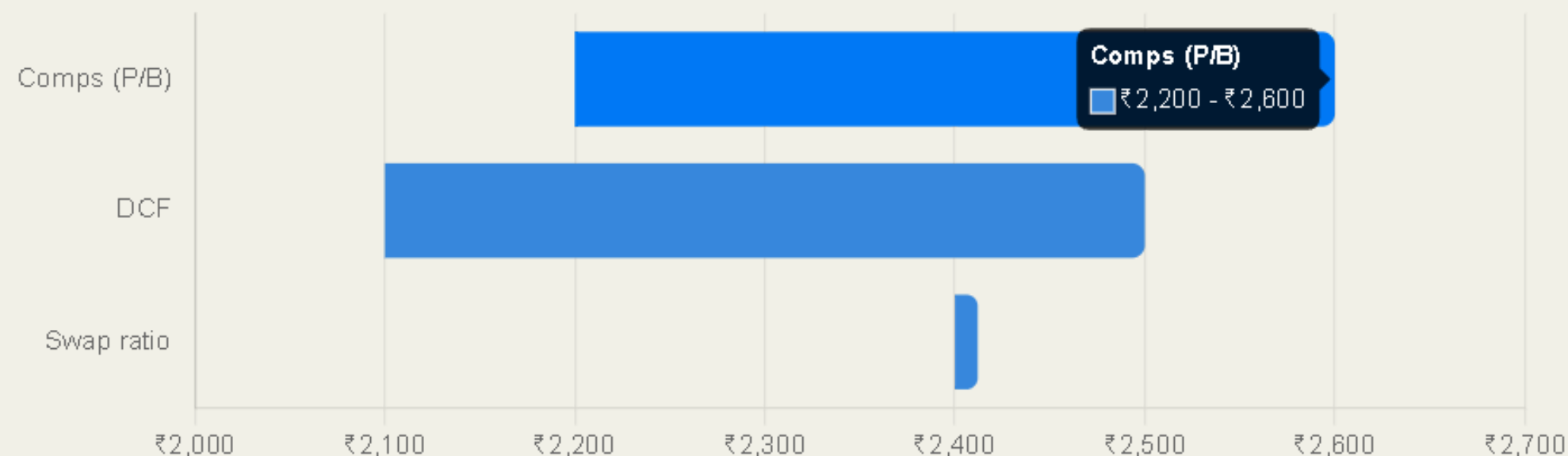
2: DCF (Discounted Cash Flow)

DCF analysis discounting projected earnings at a cost of equity of ~13% (reflecting India's risk-free rate + equity risk premium) yielded an intrinsic value broadly consistent with the swap ratio offered to HDFC Ltd shareholders



3: Swap Ratio Analysis (Most Important for This Deal)

The swap ratio of 42:25 was determined by independent valuers (Deloitte and S.R. Batliboi) based on market price averages and book value. The implied value of ₹2,200 –2,400 per HDFC Ltd share was consistent across methodologies, suggesting a fair exchange.



Synergies

Cost Synergies

- ~100-150 bps reduction in funding cost for mortgage book
- Branch network rationalization: 700+ HDFC Ltd offices merged into 8,300+ bank branches
- Shared compliance, risk, and technology infrastructure

Revenue Synergies

- Cross-sell mortgages to 68 million HDFC Bank customers
- Cross-sell banking products (cards, deposits, insurance) to HDFC Ltd's mortgage customers
- Combined balance sheet of ~₹18 lakh crore enables higher-ticket lending

1. Basis Points (bps): 1/100th of a percent. Used for precision when comparing rates. "50 bps" = 0.5%.
2. Cost of Funds: The average interest rate a company pays to borrow money (via deposits, bonds, or loans) to then lend out.
3. Cross-Sell Penetration: The percentage of existing customers who buy more than one product from you.
4. Balance Sheet: A financial statement showing what a company owns (assets) and owes (liabilities) at a point in time.



What Actually Happened After the Merger

Promise 1: Cheaper funding → more profit margin

What actually happened: It didn't work as planned — at least not yet. HDFC Bank's profit margin (NIM) actually fell, from ~4.1% to ~3.4-3.6%. This happened because interest rates in India rose sharply in 2023, making deposits costlier than expected, while the old home loans HDFC Ltd brought in were still earning at older, lower rates. The savings got cancelled out by the timing — rates moved against them right after the merger.

Promise 2: Cross-selling — selling more products to existing customers

What actually happened: This one genuinely worked, partially. HDFC Bank did start offering home loans to its banking customers more aggressively. But it takes years to fully convert customers as we can't just flip a switch and have 68 million people suddenly take home loans. Analysts say full benefits will show up only by 2025-2027.

Promise 3: Shutting duplicate offices to save costs

What actually happened: This one mostly worked as planned. The merger of offices happened smoothly without major disruption — no big layoffs or chaos reported. This is one of the cleaner wins of the deal.

Promise 4: Bigger combined size = lend more, bigger deals

What actually happened: This worked too. The combined entity did become significantly bigger and now ranks among the world's largest banks by market value. It can now compete for much bigger loan deals than HDFC Ltd alone ever could.

Risks & Challenges



1. Margin pressure

the bank expected to make more profit margin, but in the short term it actually made less, because interest rates rose and old loans took time to catch up to new rates. This isn't a "mistake" — it's a risk of bad timing



2. Asset quality risk

HDFC Ltd's home loan customers were used to NBFC-style lending rules. Now they're suddenly customers of a full bank, which has stricter rules (because RBI regulates banks more tightly than NBFCs). There was a risk that during this transition, some loans might not get tracked or managed as carefully, leading to more defaults than expected.



3. Regulatory & capital requirement risk

When HDFC Ltd's loans moved into HDFC Bank, they became subject to RBI rules (CRR and SLR). Unlike NBFCs, banks must keep a portion of deposits as cash with RBI (CRR) and hold safe government securities (SLR). That locks up funds that could otherwise be lent, reducing the bank's usable capital.



4. Integration risk

Even if both companies are well-run individually, combining their day-to-day operations smoothly is genuinely hard. Things can go wrong: employees confused about new processes, technology systems not talking to each other properly. But HDFC Bank handled this fairly well

opinion/verdict

A strategically sound deal facing short-term financial headwinds, with the core value proposition intact

- Strategic logic remains strong: cheap deposit funding + cross-selling + scale advantages are real, structural benefits, not temporary tricks
- Near-term margin pressure was caused by external timing (rising interest rates) rather than flaws in the deal's design
- Operational integration — the hardest part of most mergers — was executed smoothly
- Full benefits will likely take 2-3 years to fully show up in profit numbers, as old loans reprice to current rates

If margin pressure persists beyond 2025-26 without improvement, it would suggest deeper structural issues beyond just interest rate timing — this remains the key risk to monitor.

Data Sources & Collection / References

- HDFC Bank Investor Relations — Merger Documents & Swap Ratio Report ([hdfcbank.com](https://www.hdfcbank.com))
- HDFC Ltd Annual Report 2022 ([hdfcltd.com](https://www.hdfcltd.com))
- RBI Scale Based Regulation Circular, October 2021 ([rbi.org.in](https://www.rbi.org.in))
- Economic Times — "HDFC-HDFC Bank merger: All you need to know" (April 2022)
- Mint — HDFC Bank Q1/Q2/Q3 FY24 results coverage (post-merger margin analysis)
- Deloitte & S.R. Batliboi Valuation Report (referenced via HDFC Bank merger prospectus)
- BSE/NSE stock price data for swap ratio calculation

